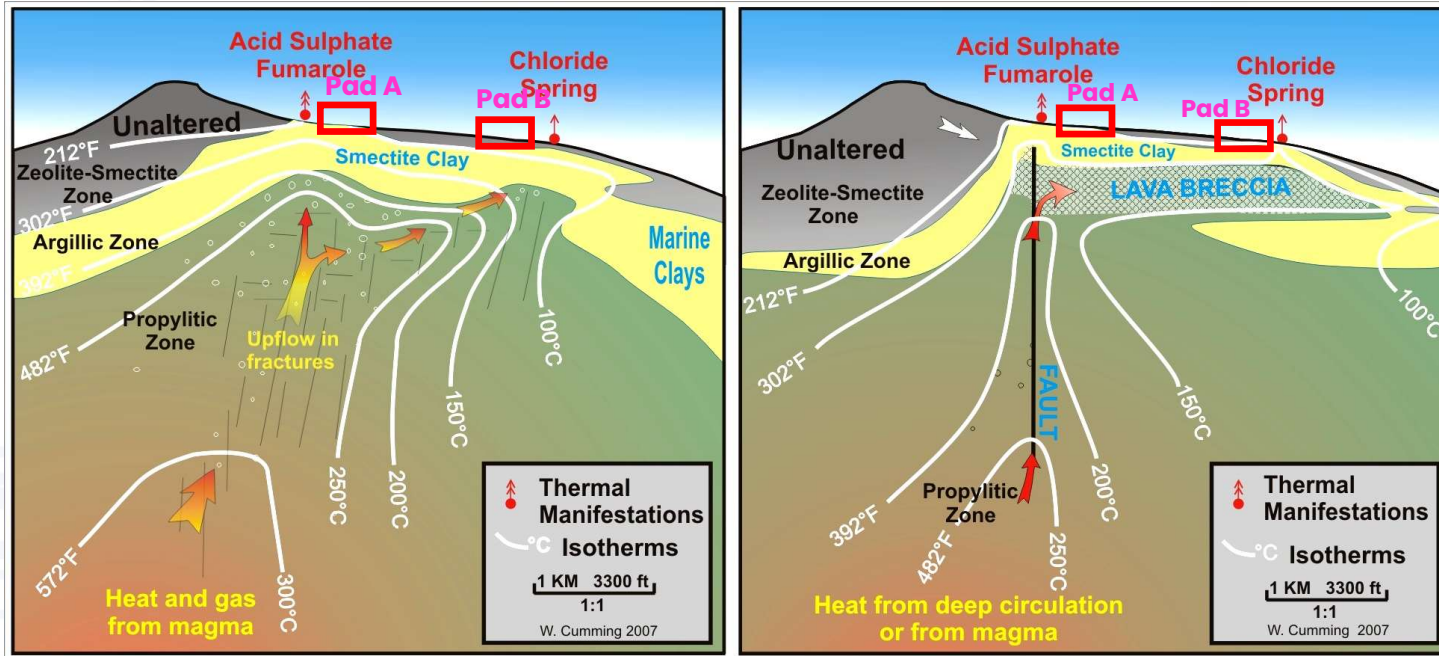


Exercise#1

Cumming, 2009



1. Well Pad Cost (Land, Construction, SWS)
 - Pad A : USD 5 MM
 - Pad B : USD 3 MM
2. Drilling Cost:
 - **Slim Hole (@1000mMD)** : USD 3MM
 - **Standard Hole (@1500mMD)** : USD 5 MM
 - **Big Hole (@2500mMD)** : USD 8 MM
3. Well Testing Cost / well : USD 300 K

A geothermal field located in South America, has completed 3G Exploration and is currently planning to conduct exploration drilling. The approved exploration drilling budget is USD 20 million.

Management has requested that you develop an exploration drilling plan. This plan should include the following details, all within the approved budget:

• **Number of Well Pads to Build:** This section should determine the optimal number of well pads to be constructed for the drilling program.

• **Number of Wells to Drill:** Specify the recommended number of wells to be drilled based on the budget and exploration goals.

• **Well Characteristics:**

- Type: Specify the recommended well type (e.g., production well, injection well).
- Total Depth: Define the target total depth for each well.
- Inclination: Define the planned inclination angle for each well.

Please provide an explanation for your recommendations, outlining the rationale behind the chosen number of well pads, wells, and well characteristics.